We believe LTTE could re-establish its operational headquarters and training camps on the Jaffna peninsula within several weeks and would absorb members from other groups. The crackdown would probably force LTTE to seek additional funding from narcotics trafficking as well as possible increased training from abroad. In the second scenario, LTTE could use its assets among radical Sinhalese Marxists and its own disciplined ranks to terrorize Sinhalese urban centres, target foreign facilities and personnel, and cripple transportation links and economic installations including tea estates. We believe an Indian military intervention could cripple Sri Lanka's prospects for maintaining a multi-party democracy. Widespread LTTE attacks in the Eastern province could bring Sri Lanka's 1 million Muslims directly into conflict with Tamil civilians, accelerating the collapse of civil order. An Indian troop presence in Sri Lanka would underscore the weak-

ness of the Colombo government, deterring foreign investment and making Sri Lanka militarily, politically, and economically dependent on India.

The CIA assessment was also prophetic about Indian army operations inside Sri Lanka, suggesting that the Indians would be ill prepared for the insurgency in the island nation. The assessment said:

Indian army has gained some counterinsurgency experience in operations against tribal separatists in India's north-eastern states. In Sri Lanka, however, it would be a foreign presence not tolerated by an armed, organized enemy—Sinhalese or Tamil. Indian conventional forces trying to hold territory and maintain peace would be a welcome change for Colombo's military. If New Delhi continued to oppose a separate Tamil